

Large Exposures

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1

Application and Definitions

1.1

This Part applies to:

1. (1) every _firm_ that is a _CRR firm_ ; and
2. (2) a _CRR consolidation entity_.

1.1A

1. (1) a _firm_ must comply with this Part on an individual basis.
2. (2) a _CRR consolidation entity_ must comply with this Part on a _consolidated basis_ , and for this purpose, references to a _firm_ in this Part (other than in 1.1 and 1.1A) mean a _CRR consolidation entity_.

1.2

In this Part the following definitions shall apply:

Capital Buffers Regulations

means the Capital Requirements (Capital Buffers and Macro-prudential Measures) Regulations 2014 (SI 2014/894).

exposure

has the meaning it has in the Large Exposures (CRR) Part Part").

non-core large exposures group or NCLEG

means all counterparties that:

1. (a) are listed in a _firm's_ _NCLEG non-trading book permission_ or _NCLEG trading book permission_ ; and
2. (b) in relation to a _firm_ , satisfy the conditions in 2.1 or 2.2.

NCLEG non-trading book exemption

means the exemption in 2.1.

NCLEG non-trading book permission

means a permission given by the _PRA_ to apply the _NCLEG non-trading book exemption_ under one of the following:

1. (a) prior to _IP completion day_ , Article 400(2)(c) of Regulation of the European Parliament and of the Council (575/2013/EU) on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No

648/2012;

2. (b) from _IP completion day_ to 31 December 2021, Article 400(2)(c) of the _CRR_ ; or

3. (c) on or after 1 January 2022, Article 400(2)(c)\(c\)" of the Large Exposures (CRR) Part Part").

NCLEG trading book exemption

means the exemption in 2.2.

NCLEG trading book permission

means a permission given by the _PRA_ to apply the _NCLEG trading book exemption_ under one of the following:

1. (a) prior to _IP completion day_ , Article 400(2)(c) of Regulation of the European Parliament and of the Council (575/2013/EU) on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012;

2. (b) from _IP completion day_ to 31 December 2021, Article 400(2)(c) of the _CRR_ ; or

3. (c) on or after 1 January 2022, Article 400(2)(c)\(c\)" of the Large Exposures (CRR) Part Part").

qualifying exposure

means an _exposure_ which has an original exposure value greater than or equal to ?300 million, calculated in accordance with Articles 389 and 390 of the _CRR_ before taking into account the effect of credit risk mitigation techniques and exemptions set out in Articles 399 to 403 of the _CRR_ (and as required to be reported in accordance with Article 9 of the _Supervisory Reporting ITS_).

resolution exemption

means the exemption in 2.4

resolution exposure

means an exposure to _resolution liabilities_ that ensures that losses can be absorbed and passed from the _firm_ to its resolution entity.

resolution liabilities

means liabilities that meet the following criteria:

1. (a) the instrument that creates the liabilities must be issued and fully paid up;

2. (b) the liabilities are not secured or guaranteed by, the _firm_ , its _parent undertaking_ or any _subsidiaries_ of the _firm_ or its _parent undertaking_ ;

3. (c) the liabilities have a minimum effective remaining maturity of one year (where liabilities include an incentive to redeem, the maturity date shall, for the purposes of determining eligibility, be considered to be the date at which the incentive arises);

4. (d) the liabilities do not depend on derivatives for their value (put or call options will not in and of themselves be sufficient to disqualify a liability for this purpose absent any other dependency on derivatives);

5. (e) the liabilities are not subject to contractual set-off or netting arrangements;

6. (f) the liabilities are able to absorb losses and recapitalise the issuer of the liability, such as through being written down and/or converted to equity, without the use of stabilisation or resolution powers at the level of the issuer of the liability;

7. (g) the liabilities are subordinated to the operating liabilities of the issuer; and

8. (h) the liabilities do not take the form of equity.

sovereign large exposures exemption

means the exemption in 3.1.

sovereign large exposures permission

means a permission given by the _PRA_ to apply the _sovereign large exposures exemption_ under one of the following:

1. (a) prior to _IP completion day_, Article 400(2)(g) or (h) of Regulation of the European Parliament and of the Council (575/2013/EU) on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012;
2. (b) from _IP completion day_ to 31 December 2021, Article 400(2)(g) or (h) of the _CRR_ ; or
3. (c) on or after 1 January 2022, Article 400(2)(g) or (h)\(c)") of the Large Exposures (CRR) Part. Part")

trading book exposure allocation

means the allocation in 2.2

1.3

Unless otherwise defined:

1. (1) any italicised expression used in this Part and in the _CRR_ has the same meaning as in the _CRR_ ; and
2. (2) any italicised expression used in this Part and in the _CRD_ has the same meaning as in the _CRD_ .

2**Intra-Group Exposures: Non-Core Large Exposures Group and Resolution Exemptions****NCLEG non-trading book exemption****2.1**

1. (1) A _firm_ with an _NCLEG non-trading book permission_ may (in accordance with that permission) exempt, from the application of Article 395(1) of the _CRR_ , non-_trading book exposures_ , including participations or other kinds of holdings, incurred by the _firm_ to members of its _NCLEG_ that are:

1. (a) its _parent undertaking_;
2. (b) other _subsidiaries_ of that _parent undertaking_ ; or
3. (c) its own _subsidiaries_ ,

2. in so far as those undertakings are covered by the supervision on a _consolidated basis_ to which the _firm_ itself is subject, in accordance with the _CRR_ , provisions implementing Directive 2002/87/EC or with equivalent standards in force in a third country.

3. (2) A _firm_ may only use the _NCLEG non-trading book exemption_ where the total amount of non-_trading book exposures_ (whether or not exempted from Article 395(1) of the _CRR_) from the _firm_ to its _NCLEG_ does not exceed 100% of the _firm's_ Tier 1 capital._

4. A _firm_ may calculate the total amount of such _exposures_ after taking into account the effect of credit risk mitigation in accordance with Articles 399 to 403 of the _CRR_.

5. (3) With respect to the application of requirements laid down in Part Four of the _CRR_ on a consolidated basis, a _firm_ may treat the total amount of exposures that are exempt in accordance with an _NCLEG non-trading book permission_ on an individual basis as exempt from the limit in Article 395(1) of the _CRR_ on a consolidated basis.

[Note: Art 400(2)(c) of the _CRR_]

NCLEG trading book exemption

2.2

1. (1) A _firm_ with an _NCLEG trading book permission_ may (in accordance with that permission) exempt, from the application of Article 395(1) of the _CRR_, _trading book exposures_ up to its _trading book exposure allocation_, including __participations__ or other kinds of holdings, incurred by the _firm_ to members of its _NCLEG_ that are:
 1. (a) its _parent undertaking_;
 2. (b) other _subsidiaries_ of that _parent undertaking_; or
 3. (c) its own _subsidiaries_,
2. in so far as those undertakings are covered by the supervision on a _consolidated basis_ to which the _firm_ itself is subject, in accordance with the _CRR_, provisions implementing Directive 2002/87/EC or with equivalent standards in force in a third country;
3. (2) The _trading book exposure allocation_ for a _firm_ is 100% of the _firm's Tier 1 capital_ less the total amount of non-_trading book_ __exposures_ (whether or not exempted from Article 395(1) of the _CRR_) from the _firm_ to its _NCLEG_.
4. (3) [deleted.]
5. (4) A _firm_ may calculate its _trading book exposure allocation_ after taking into account the effect of credit risk mitigation in accordance with Articles 399 to 403 of the _CRR_.
6. (5) A _firm_ must allocate the _trading book_ __exposures_ it has to its _NCLEG_ to its _trading book exposure allocation_ in ascending order of specific-risk requirements in Part Three, Title IV, Chapter 2 and/or requirements in Article 299 and Part Three, Title V of the _CRR_.
7. (6) With respect to the application of requirements laid down in Part Four of the _CRR_ on a consolidated basis, a _firm_ may treat the amount of exposures that are exempt in accordance with an _NCLEG trading book permission_ on an individual basis as exempt from the limit in Article 395(1) of the _CRR_ on a consolidated basis.

[Note: Art 400(2)(c) of the _CRR_]

Notifications and reporting

2.3

1. (1) A _firm_ with a _core UK group permission_ and an _NCLEG trading book permission_ and/or an _NCLEG non-trading book permission_ must give the _PRA_ written notice whenever the _firm_:
 1. (a) [deleted]
 2. (b) becomes aware that the total amount of _exposures_ from the _core UK group_ (including the _firm_) to a particular member of the _firm's_ _NCLEG_ are likely to exceed, or have exceeded, 25% of the _Tier 1 capital_ of the _PRA_-regulated _firm_ with the largest _Tier 1 capital_ base in the _core UK group_;
 3. (c) becomes aware that the total exposures from the members of its _core UK group_ (which are not _firms_) to the _firm's_ _NCLEG_ are likely to exceed, or have exceeded, 25% of the _Tier 1 capital_ of the _PRA_-regulated _firm_ with the largest _Tier 1 capital_ base in the _core UK group_.
2. (2) The written notice required under (1) must contain the following:
 1. (a) details of the size and the expected duration of the relevant _exposures_; and
 2. (b) an explanation of the reason for those _exposures_.
 3. (3) [deleted.]

Resolution exemption

2.4

A _firm_ must exclude from the limit in Article 395(1) of the _CRR_ _resolution exposures_ to:

1. (1) its _parent undertaking_ ;
2. (2) other _subsidiaries_ of that _parent undertaking_ ; or
3. (3) its own _subsidiaries_ ,

in so far as those undertakings are covered by the supervision on a _consolidated basis_ to which the _firm_ itself is subject, in accordance with the _CRR_ , provisions implementing Directive 2002/87/EC or with equivalent standards in force in a third country.

[Note: Art 400(2)(c) of the _CRR_]

3

Sovereign Large Exposures Exemption

3.1

1. (1) If a _firm_ has a _sovereign large exposures permission_ , the _exposures_ specified in that permission are exempt from Article 395(1) of the _CRR_ to the extent specified in that permission.
2. (2) For the purposes of the _sovereign large exposures permission_ , and in relation to a _firm_ , the _exposures_ referred to in (1) are limited to the following:
 1. (a) asset items constituting claims on _central banks_ in the form of required minimum reserves held at those _central banks_ which are denominated in their national currencies; and
 2. (b) asset items constituting claims on central governments in the form of statutory liquidity requirements held in government securities which are denominated and funded in their national currencies provided that the credit assessment of those central governments assigned by a _nominated ECAI_ is investment grade.

[Note: Art 400(2)(g)-(h) of the _CRR_]

4

Conditions for the Non-Core Large Exposures Group Exemption and the Sovereign Large Exposures Exemption (Deleted)

4.1

[Deleted.]

5

Large Exposures ? Stricter Requirement for Exposures of G-SIIs and O-SIIs to Certain French Counterparties [Deleted]

Application and interpretation [Deleted]

5.1

[Deleted]

5.2

[Deleted]

Level of application [Deleted]

5.3

[Deleted]

5.4

[Deleted]

5.5

[Deleted]

Materiality threshold [Deleted]

5.6

[Deleted]

Reduced limit on exposures [Deleted]

5.7

[Deleted]